



STEP Advanced Certificate in Company Law and Practice (International)

Specimen Examination Paper 1 – Key Answer Points



Note:

The following key answer points are provided to support your preparation and understanding of the issues raised in the questions in the specimen examination paper. These are not model or specimen answers, and you are not expected to replicate the structure, style, or vocabulary used.

They are intended as a learning aid to help you develop your analytical approach and exam technique, rather than as templates for your own responses. Use them to reflect on how issues are framed and addressed, and to strengthen your ability to construct well-reasoned conclusions for the final assessment.

Question 1

- 1.1** Candidates should draft a Notice that complies with Article 11.1, which is illustrated in Appendices 25E and 30B of the online Study Resources, and also shown below.

COMPANY LIMITED (Number xxx, the 'Company')
NOTICE OF GENERAL MEETING OF THE COMPANY TO CONSIDER SPECIFIC RESOLUTION

To: The members of the Company: C, D and E
The directors of the Company: A and B

NOTICE IS HEREBY GIVEN THAT a general meeting of the Company will take place at [venue] on [date] at [time] for the purposes of considering and, if thought fit, passing the following SPECIAL RESOLUTIONS:

1. THAT the Company be wound up voluntarily.
2. THAT [name and address] and [name and address] (the 'Liquidators') be and are hereby appointed as liquidators of the Company to act jointly and severally for the purposes of such winding up.
3. THAT the Liquidators' accounts of receipts and payments need not be audited.

DATE
SIGNED

Note: A member of the Company who is entitled to attend and vote is also entitled to appoint a proxy, who need not be a member of the Company, to attend, speak and vote instead of him.

In relation to subsequent questions, it is expected that candidates should cover the following points.

- 1.2** Notice should be served upon all shareholders and the directors in accordance with Article 27.5. Service should be effected personally, by post or email attachment in accordance with Articles 27.1 and 27.2.

It is suggested that service by email is more efficient as it is permitted by Article 27.1 (provided the shareholders have supplied a 'registered email address') and service is deemed effected upon sending.

- 1.3** Failure to give proper notice usually invalidates the meeting and any business transacted. However, the Articles may excuse an accidental error in service. Article 11.3 comes into play to validate the meeting following accidental failure to give proper notice.
- 1.4** The quorum for a members' meeting under Article 12.2 is two shareholders personally present. Accordingly, if only C attends, the meeting is inquorate and should be adjourned in accordance with Article 12.3.
- 1.5** On a show of hands D and E can vote out C. However, in accordance with Article 12.6, C can demand a poll in which case their 70% of the votes constitutes a super-majority in accordance with the definition in Article 1), sufficient to pass the special resolution.

Question 2

2.1 It is expected that candidates should cover the following points.

- Article 19.3 requires any borrowing in excess of \$1 million to be approved by the company in general meeting. In these circumstances, as a nominee shareholder has been appointed, a shareholders' meeting can be dispensed with. There is a two-stage process: a shareholder's resolution is required to authorise the borrowing; and a director's resolution to borrow the money, buy the aircraft, register the new ownership and mortgage and, finally, to transfer the registration to the Manx Aircraft Registry.
- Firstly, to pass a shareholder's resolution:
 - (a) obtain the beneficial owner's written instructions to the nominee shareholder to pass a written ordinary resolution to approve the borrowing of \$5 million and to mortgage the aircraft as security;
 - (b) the directors of the corporate nominee should appoint an authorised representative to sign documentation on behalf of the corporate nominee – see precedent in Appendix 25H and notice at Appendix 25J;
 - (c) pass a written resolution by having it signed by the authorised representative of the corporate nominee; and
 - (d) file the written resolution of the sole shareholder in the company's minute book.
- Secondly, a sole director cannot hold a board meeting, therefore all that is necessary is for the sole director to pass a board resolution to approve and complete the transactions as follows:
 - (i) the corporate director must appoint an authorised representative to sign the board resolution on its behalf;
 - (ii) draft and sign a written board resolution to borrow the funds, purchase the aircraft, mortgage the aircraft, register the new ownership and mortgage and, finally, transfer the registration to the Manx Aircraft Registry;
 - (iii) file the resolution in the company's minute book of board resolutions; and
 - (iv) update the company's register of charges, where applicable.

- 2.2** Candidates should draft written resolutions of the sole shareholder and written resolutions of the sole director, illustrated below.

COMPANY LIMITED (No. xxx, the 'Company')
WRITTEN RESOLUTIONS OF THE SOLE MEMBER OF COMPANY

Pursuant to Articles 12.2 and 12.11 of the Company's Articles of Association, we the undersigned sole member of the Company for the time being:

NOTE:

- (A) THAT it is proposed that the Company do borrow the sum of \$5 million from XYZ Bank, Miami in order to buy a Lear Star Jet, Tailfin Number 1234 (the 'Aircraft') and that the loan be secured by way of legal mortgage over the Aircraft (the 'Borrowing').
- (B) THAT the sole shareholder wishes to approve the Borrowing pursuant to Art 19.3 of the Company's articles.
- (C) THAT the sole shareholder wishes to approve the purchase of the Aircraft in order that the board may proceed without liability for breach of their duty to the Company.

RESOLVED:

THAT the Borrowing and the purchase of the Aircraft be and is hereby approved.

DATED
SIGNED

For and on behalf of Corporate Services Provider (Nominees) Limited

COMPANY LIMITED (No. xxx, the 'Company')
WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF COMPANY

Pursuant to Article 20.15 of the Company's Articles of Association, we the undersigned sole director of the Company:

NOTE:

- (A) With the approval of the sole shareholder of the Company, the Company proposes to borrow the sum of \$5 million from XYZ Bank, Miami (the 'Loan' and the 'Lender' respectively) in order to buy a Lear Star Jet, Tail Fin No.1234 (the 'Aircraft')
- (B) The purchase of the Aircraft and its terms and conditions shall be recorded in a Bill of Sale, a copy of which is attached and forms part of these resolutions marked AB1 (the 'Bill of Sale')
- (C) The Loan shall be secured against the Aircraft by way of Legal Mortgage in the Lender's standard form, a copy of which is attached marked AB2 (the 'Mortgage').
- (D) The Mortgage creates a fixed and floating charge over the Aircraft and other assets of the Company and may be enforced by the Lender upon the happening of certain defined Acts of Default.
- (E) Upon completion of the purchase of the Aircraft and registration of the Company as owner and the Lender as mortgagee of the Aircraft, and with the Lender's consent, the registration of the Aircraft be transferred from the United States Federal Aviation Authority to the Manx Aircraft Registry.

- (F) After careful consideration it was decided that the borrowing from the Lender of the Loan to acquire the Aircraft, the acquisition of the Aircraft and the transfer of its registration to the Manx Aircraft Registry would promote the interests and success of the Company for the benefit of its shareholders.

RESOLVE:

1. That the terms and conditions set out in the Bill of Sale be and are hereby approved.
2. That the Bill of Sale be entered into and executed as a deed.
3. THAT the terms and conditions of the Loan, secured by the Mortgage be and are hereby approved.
4. THAT the Loan be signed by the Company's authorised representative and the Mortgage be entered into and executed as a deed.
5. THAT the authorised representative of the Company be and is hereby instructed to enter particulars of the Mortgage in the Company's register of charges.
6. THAT upon completion of the purchase of the Aircraft and registration of the Company as owner and the Lender as mortgagee of the Aircraft, and with the Lender's consent, the registration of the Aircraft be transferred from the United States' Federal Aviation Authority to the Manx Aircraft Registry.
7. THAT the authorised representative be and is hereby authorised to execute all documentation on behalf of the Company in order to complete the registration referred to in Resolution 6, above.

DATED

SIGNED

For and on behalf of Corporate Services Provider (Directorships) Ltd

Question 3

3.1

It is expected that candidates should cover the following points.

- The typical division of power within a corporate structure is between ownership and control: the shareholders passively own the company; the directors control day-to-day management of its business.
- The historic reasons for the division of power are manifold, including those referred to in Module 2:
 - (i) raising capital – it enabled entrepreneurs to raise significant amounts of capital to finance their start-up businesses;
 - (ii) expertise and business acumen – the entrepreneurs were experts in their field of business, the capitalists not so; and
 - (iii) liquidity – it permitted the owners of a business to liquidate their investment by selling their shares to a willing buyer, without it affecting the day-to-day business conducted by the board of directors.

3.2

Candidates are expected to cover the following points.

- The apportionment of power referred to above in Question 3.1 is confirmed by Article 19.1 of the Company's articles (which is modelled upon Table A of the English Companies Act 1948).
- The article confers upon the board the power to run the business of the Company as well as other residual powers that are not expressly conferred upon the shareholders by applicable companies legislation (for example, to alter the constitution, migrate or voluntarily wind-up) or by the articles (for example, to approve corporate borrowing above a maximum limit per Article 19.3 and remove and replace board members).
- However, no power to manage, or interfere in management of, the business of the company is expressly conferred upon the shareholders by the articles under scrutiny in Appendix 1 and, therefore, Article 19.1 simply codifies the typical division. According to *Quin & Axtens Ltd v Salmon*,¹ this means that shareholders have no power to give binding instructions to the board.

3.3

Candidates are expected to discuss the following points.

- When both the board of directors and the body of shareholders are provided by one and the same trust company, the division of power between the two organs is often regarded as academic. The sole shareholder of an underlying company is the trust company which also provides the company's board of directors.
- When making corporate decisions affecting the company and its assets, its board of directors technically owe the company an independent fiduciary duty and duty of care. To comply with such duties a director must always act carefully and in the best interests of the company as a whole. Whereas a shareholder can decide matters in its own favour.

1. *Quin & Axtens Ltd v Salmon* [1909] AC 442.

- However, in relation to the management of an underlying company, the board of directors are really an extension of the trustee that owes similar duties, but to the beneficiaries rather than the company.

3.4 The power to remove a director of the Company is conferred upon the shareholders. According to Article 15.3, it requires an ordinary resolution passed by majority vote. Removal of board members can, therefore, be carried out by the sole shareholder, namely the trustee of the Redhouse Trust. The power to replace a director who has been removed is also conferred on the sole shareholder by Article 15.4, exercised by passing an ordinary resolution.

In practice, you are only likely to be removed as director of an underlying company and replaced when there is a change of trustee. For instance, if the trustee of the Redhouse Trust is removed and replaced by T2, the shares of Company will be transferred to T2, who will then vote the shares to pass an ordinary resolution to remove existing board members and replace them by appointing their own officers (or corporate subsidiary) to the board.

Question 4

This is an academic essay in two parts. In the first part candidates are expected to review the responsibilities of directors, the performance of which earns them remuneration, but they can also be held personally liable to the company for breach of duty and to creditors for fraudulent/wrongful trading. In the second part, candidates are expected to review how and to what extent members of the board of directors can reduce their exposure to risk.

It is expected that, in the review of responsibilities and duties, candidates should cover the following points.

- Responsibilities include the fiduciary duties owed to the company (Module 8 section 2.1, in particular the duty of good faith, the no-conflicts rule, the no-profits rule, the no-other-benefits rule) and the duty to exercise their powers with appropriate and reasonable care and skill (Module 8 section 2.2).
- Remuneration is typically a matter for the shareholders in general meeting (see, for example, Article 18 of Appendix 1).
- Breach of duty: the company, but not individual shareholders, may commence a lawsuit against an errant director for breach of their fiduciary duty and/or duty to manage with appropriate standards of reasonable care and skill (the proper-plaintiff rule in *Foss v Harbottle*,² Module 8 section 4). The commencement of a lawsuit by the company against a director requires a resolution of shareholders in general meeting. The majority of shareholders can therefore waive a negligent, but not a fraudulent, breach of director's duty.
- Fraudulent/wrongful trading: furthermore, a director can be held personally liable to pay debts incurred by the company in circumstances when the director allows the company to continue to trade, and thus incur liabilities, when the company is insolvent and they know (for fraudulent trading) or ought reasonably to know (for wrongful trading) that the company is and will be unable to pay. See Module 8 section 6.

The second part of the essay requires candidates to state how and to what extent directors can reduce their exposure to risk.

- In order to eliminate liability for negligent acts and omissions, a director may:
 - (i) obtaining shareholder approval;
 - (ii) exoneration provisions in the articles and or in the director's service agreement ('DSA'), provided lawful in the jurisdiction under scrutiny;
 - (iii) indemnity provisions in the Company Management Agreement;
 - (iv) Director's indemnity insurance.
- In order to reduce liability for fraudulent/wrongful trading as soon as a director realises that the company is approaching insolvency, they should convene a board meeting, recommend that the company ceases to trade and be voluntarily wound up, or alternatively, if it is viable, propose a compromise arrangement with its creditors.

2. *Foss v Harbottle* (1843) 67 ER 189.

Question 5

5.1 It is expected that candidates will cover the following points.

- A members' voluntary winding-up is initiated by shareholders resolution in circumstances when the company is solvent and requires a directors' resolution of solvency. This entitles the shareholders to appoint the liquidation to complete the winding-up process.
- A creditors' voluntary winding-up occurs in the absence of court proceedings when the company is insolvent. The creditors' voluntary winding-up is still initiated voluntarily by shareholders' resolution but without a court order. However, the directors are required to then convene a creditors' meeting for the creditors to appoint the liquidator.
- Once the liquidator is appointed, the winding-up process then follows a similar route
- In conclusion, a creditors' voluntary winding-up is appropriate, as the Company is insolvent.

5.2 Company Ltd (in creditors' voluntary winding-up)

LIQUIDATOR'S STATEMENT OF ACCOUNT

Company:	Company Limited
Proceedings:	Creditors' voluntary winding-up
Date of commencement of winding-up:	[date]
Period of Accounts:	[date] to [date]
Name of Liquidator:	[Name] of [address]

RECEIPTS AND REALISATIONS

DATE	RECEIVED FROM	NATURE OF ASSET REALISED	AMOUNT (\$)
Date	Broker	Investments	310,000
Date	Realtor	Real estate: Blackacre*	1,700,000
Date	Dealer	Artwork	550,000
Date	Bank	Deposit account closed_	40,000
Date	PB Oil Co.	Receivable	5,000
			2,605,000

PAYMENTS

DATE	PAID	NATURE OF SUM PAID	AMOUNT OWED(\$)	PAID(\$)
Date	Mortgagee, Secured	Proceeds of sale Blackacre*	2,400,000	1,700,000
Date	Liquidator	Fees/disbursements (in full)	40,000	40,000
Date	Government, Pref Cr	Tax (in full)	55,000	55,000
Ordinary Creditors				
Date	Mortgagee, balance	Remaining debt as Ord Cr*	700,000	350,000
Date	Lawyer	Legal fees	120,000	60,000
Date	Accountant	Accountancy fees	15,000	7,500
Date	Trade Creditors	Trade Creditors	225,000	112,500
Date	CSP	Corporate services	60,000	30,000
Date	Beneficial Owner	Shareholder loan	500,000	250,000
				2,605,000
BALANCE				Nil

SUMMARY

Receipts and realisations	2,605,000
Payments	2,605,000
Balance	Nil
Capital returned to members	Nil

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